

Module 1, Chapter 1: The Evolution of Insurance

Historical Foundations

- **The Code of Hammurabi (ca. 1700 BC):** The earliest documented community safety net emerged in ancient Babylon. If a robber was not caught, the local community was structurally obligated to compensate the victim. If a citizen was kidnapped, the community paid exactly one mina of silver as a ransom.
- **Italian Maritime Bonds:** To protect dangerous sea voyages, early merchants utilized two core ancestral credit tools:
 - **Bottomry Bond:** A financial security agreement using the physical ship or vessel as collateral.
 - **Respondentia:** A security agreement using the commercial cargo carried inside the ship as collateral.
- **Philippine Mutual Systems:** Deep cultural safety nets existed long before modern corporations:
 - **Paluwagan:** A highly popular local pooling of money scheme that acts as a homegrown mutual fund, often paid daily, weekly, or monthly.
 - **Bayanihan System:** The foundational cultural paradigm of collective community support and shared neighborhood labor.
 - **Abuloy:** A dedicated community collection, donation, or help fund serving as an offering to ease financial burdens during collective affairs or times of grief.
- **Lloyd's of London (1689):** Originating in a coffee shop owned by Edward Lloyd, it became a central meeting place for sailors and merchants to negotiate business and marine insurance.
 - **Strict Rule:** Lloyd's is **not an insurance company**; it is an association of private individuals who step forward to accept and underwrite risks.

Philippine Corporate Milestones

- **1829:** Lloyd's of London appointed Stracham, Murray & Co. as its first local representative.
- **1898:** Sun Life of Canada formally established its local presence.
- **1906: Yek Tong Lin Fire and Marine Insurance Co.** was established as the first domestic non-life company.
- **1910: Insular Life Assurance Co., Ltd** was established as the first domestic life insurance company.

The Social Value of Insurance

- Optimizes the use of factors of production (land, labor, and capital).
- Contributes to social and business stability through indemnification.
- Provides a solid basis for our credit systems and serves as a source of capital funds for the national economy.

Key Takeaway: Insurance is not just modern legal paperwork; it is a centuries-old survival mechanism. Memorize the distinction between Bottomry (the ship) and Respondentia (the cargo), and always remember that Lloyd's of London is a market of individual underwriters, never a standalone insurance company!